

Research Briefing | Spain

Looking past the inflationary surge in 2021

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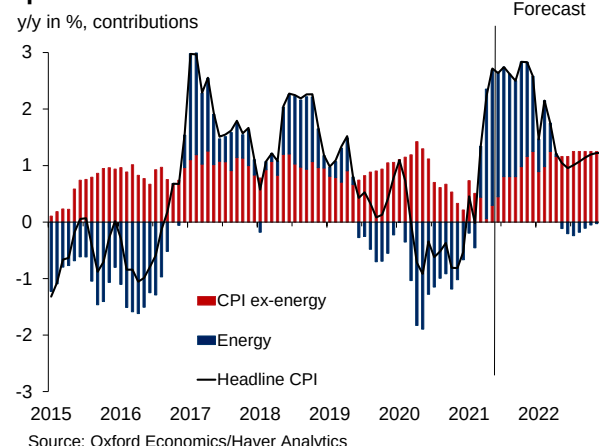
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- For the first time in nearly a decade, Spain will see inflation average over 2% this year. Indeed, in the final months of the year, consumer prices could hit 3%. But beyond this year's surge in prices, we still anticipate the medium-term inflation outlook to be moderate.
- A rise in energy prices is common across Europe but the impact is particularly acute in Spain, where it's driving around 75% of the inflationary surge. In particular, soaring electricity prices, up 40% from last year, are dominating inflation dynamics at the moment. But at some point, energy prices will reach a ceiling, so will eventually become a major restraint on annual inflation rates.
- So far, core inflation has remained close to zero. But we expect underlying price pressures to rise substantially toward the end of the year, partially driven by base effects. Beyond this year, however, we struggle to see evidence for a sustained rise in core inflation given the amount of slack in the economy.
- Still, the unprecedented nature of the pandemic and the dislocation it has caused to the supply side, combined with the strength of the rebound pose upside risks to our short-term inflation forecast. But although consumer worries about inflation are higher, we do not anticipate a shift in the structural forces that have kept inflation low during the past decade.

Despite Spain suffering the [largest plunge in GDP in Europe](#) in 2020, inflation rather than growth has grabbed most of the headlines in recent weeks. After spending most of 2020 mired in deflation, consumer prices have shot up to nearly 3% in the first months of the year, lifting Spain's inflation rate to one of the highest in the eurozone. Our current forecast sees inflation averaging 2.1% this year, which would be the highest since 2012, with monthly readings routinely above 2.5% over the rest of the year.

Figure 1: Inflation will likely remain above 2% for the rest of 2021

Spain: Inflation forecast



Energy prices are driving most of the rise in Spain's inflation in 2021, as core inflation remains close to 0%. While we expect underlying inflationary pressures to rise later this year and in 2022, it will not be enough to keep inflation at the current high levels.

Looking past the inflationary surge in 2021

While we have been anticipating a [strong rise in prices](#) for some time, the speed and the strength of the inflation surge in Europe has exceeded our expectations. For most European countries the rise in inflation is being mainly driven by energy costs, but for Spain the impact is comparatively more severe (for the reasons explained in this [note](#)) leading to a higher inflation rate, even though core inflation is still stuck at close to 0%.

For Spain the behaviour of energy prices is particularly important, with wild swings in electricity prices having an outsized impact on headline inflation. Although electricity represents only 3% of the CPI basket, it is currently responsible for half of the total rise in consumer prices (**Figure 3**). Driven by a rise in oil and gas prices, higher costs for carbon emissions in the EU, higher taxes and regulatory issues, Spain's electricity prices have soared 40% compared to last year and are currently among the highest in Europe. This means that inflation will remain high for the rest of the year and could even hit 3% in the final months of 2021 (**Figure 1**) when core inflation will rise, partially driven by base effects. But for 2022, we expect inflation will moderate substantially, averaging around 1.5%.

While inflation is a complex phenomenon, dividing our inflation forecast into its main components helps explain our view. We estimate the energy component – which makes up 10% of the CPI basket – will represent three quarters of the 2.1% inflation expected for this year. But with energy prices unlikely to continue to rise much further in 2022 from their current elevated levels, this means base effects alone will subtract 1.5pp from annual inflation next year. To put it simply, if we are to see inflation above 2% again in 2022, we'd likely need to see core inflation rising by that much.

A sustained rise in core inflation would require at least two conditions: a substantial rise in inflation expectations and robust wage growth. The latter would then lead to second round inflation effects through stronger demand.

Although in 2022 the link between wages and this year's inflation could lead to workers getting a decent pay rise, the outlook for wages beyond that will continue to be mainly driven by the amount of slack in the labour market. On that front, while the labour market has experienced a relatively benign crisis compared to previous shocks, the impact has still been substantial, with one million workers yet to return to their jobs (**Figure 4**). What's more, although the official jobless rate is 16%, we estimate the 'real' unemployment

Figure 2: Spain currently has one of the highest inflation rates in the eurozone

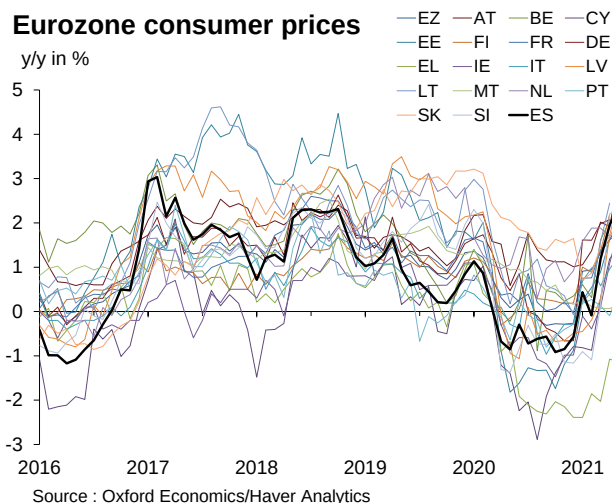


Figure 3: A surge in electricity prices is distorting CPI statistics

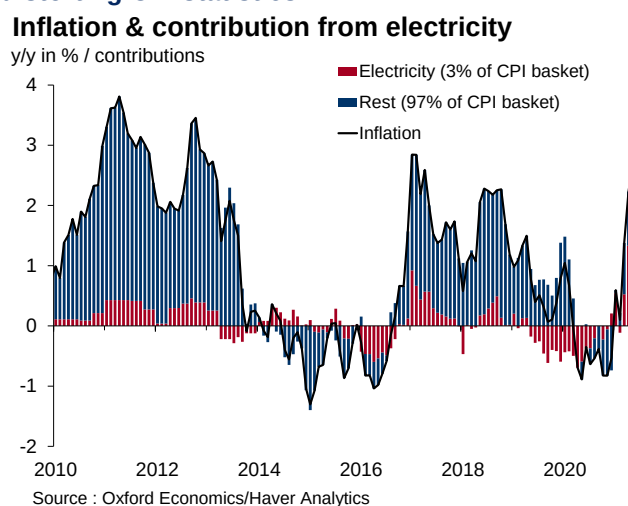
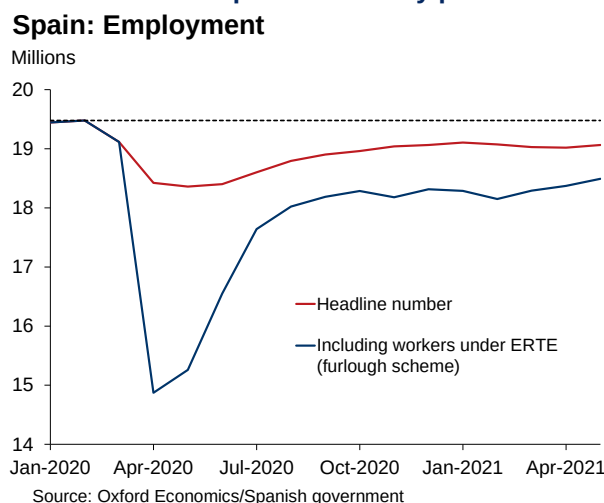


Figure 4: The labour market still has a lot of slack, which should dampen inflationary pressures



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rate is closer to 20% when taking into account workers that are still on furlough (**Figure 5**).

Alternative measures such as the output gap shed a similarly benign picture for inflation over the medium term, as Spain's economy will not return to its pre-crisis level until at least mid-2022.

Could we see a permanent rise in inflation?

Expectations are a key channel, and this is where we see higher risks, not least because these involve consumer psychology and are thus much more challenging to forecast.

Amplified by the constant media debate, the rise in prices has pushed public interest in inflation to the highest level in over a decade (**Figure 6**). Meanwhile, in the latest consumer sentiment survey carried out by the [CIS](#), respondents expecting the economic situation to worsen in the next six months cited inflation as the most common cause for their pessimism. This is a rather remarkable response in a country where GDP is still 10% below its pre-pandemic level and which has one of the highest unemployment rates in the world.

An often-unappreciated point is that if prices don't fall, a transitory increase in inflation means a permanent increase in price levels, that is, in the cost of living. So even if economists correctly declare inflation to be transitory, most people still – rightly – perceive prices to be permanently higher. When this affects prices that represent an important part of the consumer basket, consumers' perception of overall inflation will then be skewed. The aggregate headline inflation number then becomes increasingly decoupled from people's perceptions of prices.

Another way to look at this is by analysing the disruption the pandemic has caused to relative prices. Spain's statistical institute has devised a Covid-adjusted basket for goods and services (**Figure 7**) adjusting for the pandemic-driven shift in consumers' preferences. In this index, prices for services that people now use more frequently are up 6% compared to a year ago – more than double the headline inflation rate. And considering the reopening is bringing about a strong economic rebound while the pandemic is still causing supply chain bottlenecks in some sectors, we could see temporary pockets of inflation in some parts of the economy. This could add to perceptions that inflation is much higher than what is being widely reported.

Figure 5: Unemployment remains high, especially when including furloughs

Spain: Unemployment and "real" unemployment rate*

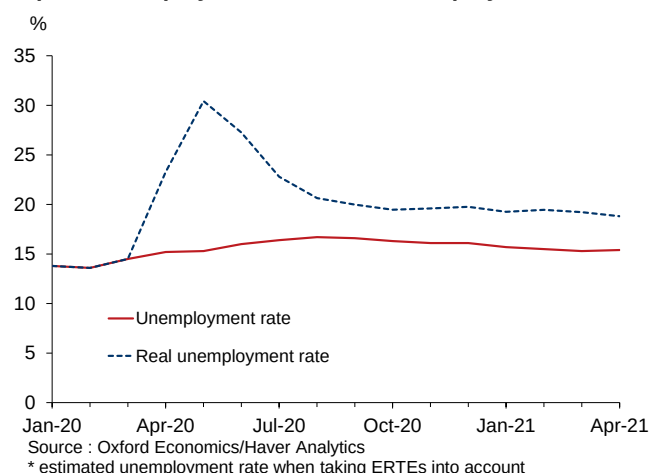


Figure 6: Consumers have not been this interested in inflation for over a decade

Google searches for 'inflation'

Search interest (maximum=100)

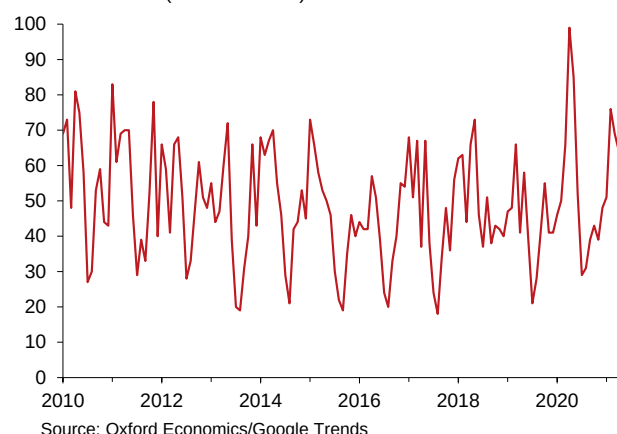
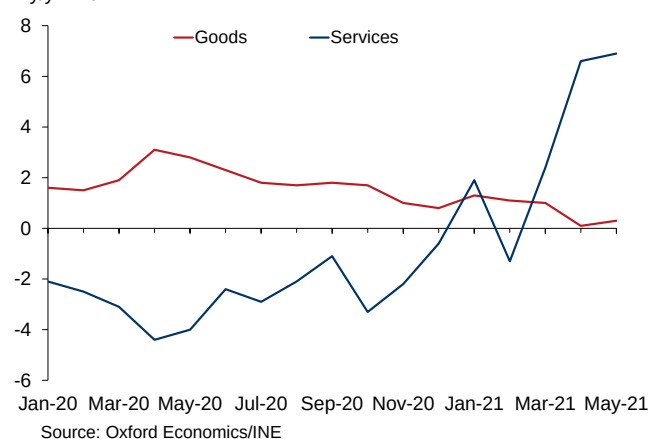


Figure 7: The pandemic is causing large distortions to relative prices

Spain: Covid-19 CPI index

y/y in %



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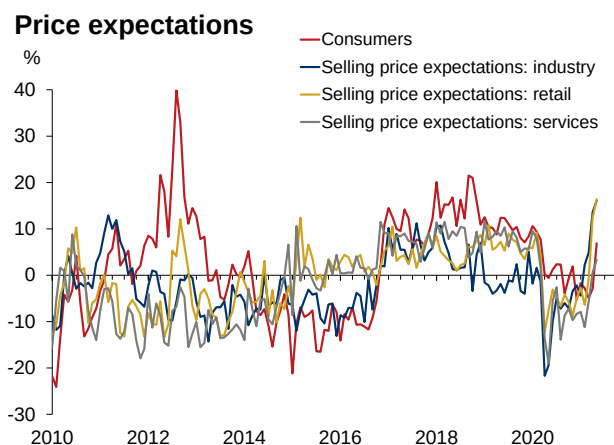
It's not only consumers who expect higher inflation – businesses are also expecting price rises (**Figure 8**). But the crucial point is that all the available information we have regarding price expectations is derived from surveys that are limited to the short term: between three months and a year. So the sharp rise in price expectations now does not tell us much about what to expect for inflation in 2022 and beyond.

Still, concerns about inflation do not necessarily translate automatically into actual, sustained inflation. The limited ability of consumers to set prices in the economy should mean there is a low risk of expectations becoming permanently unanchored. History shows that people's interest in inflation is very volatile and tends to return to the mean, so the current surge is likely to be temporary. Once inflation wanes again, so will people's interest in it. And the pricing power of many corporates which are still reeling from the pandemic is also limited. Once the initial burst of growth is behind us, we struggle to see a sustained dynamic of higher costs being passed on to consumers. Despite a much more responsive fiscal policy than in the last crisis, Spain's stimulus is nowhere near the levels seen in other economies such as the US. Lastly, we are not excessively concerned about other factors usually cited by "inflationistas" such as the strong [rise in liquidity](#) this past year.

Overall, we think the structural factors that shifted Spain from a traditionally inflationary country (**Figure 9**) into a low inflation one still remain in place: a credible central bank with a defined inflation target; a large amount of unused capacity under most measures pointing to moderate wage growth in the coming years; and a strong and stable currency that makes a permanent shift from a low inflation regime back to a high one unlikely. This is corroborated by our [global research](#) on inflation regimes.

While we might need to get used to inflation being higher than we've seen for some time, a bit of historical perspective is useful to put the current numbers in context. What's more, inflationary pressures are coming at a time when GDP growth is reaching record highs. So, despite some of Spain's economic commentariat raising the spectre of the 1970s and warning about the risks of stagflation in the coming years, we'd confidently take the other side of that bet.

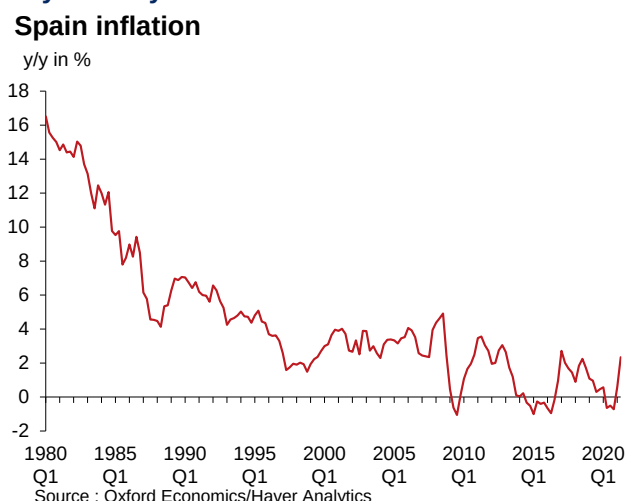
Figure 8: A strong rise in inflation expectations, but limited to the near term



Source: Oxford Economics/Haver Analytics

Note: Price expectations from the European Sentiment Indicator survey

Figure 9: A return to Spain's inflationary past is very unlikely



Source : Oxford Economics/Haver Analytics